

BOARD MEETING OF THE CBA

MINUTES (16.06.2020)

On the Refinancing Rate

The CBA Board Meeting of June 16, 2020 attended by Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Armenak Darbinyan and Oleg Aghasyan

The Board meeting opened with a report of the situation as of June 16, 2020. It addressed the developments on inflation, external environment and real, fiscal and monetary sectors of the economy in the context of assessing the impact and consequence of the coronavirus pandemic.

There was 0.1% deflation in May 2020, compared to 0.4% deflation registered in the same month last year, **with the 12-month inflation expanded to 1.2%**. The month's negative inflation figure was mainly due to 0.2% drop in prices of item "Food and non-alcoholic beverage" (contribution to inflation: 0.09 pp), and prices of items "Clothing and footwear", "Transport" and "Recreation and culture" decreased by 2.3%, 0.6% and 0.6%, respectively (combined contribution to inflation: 0.15 pp). Following some recovery in April, the **12-month core inflation rate** declined to a certain extent to **0.9%** in May.

The Board touched upon possible statistical and substantive issues of estimating the inflation. Particularly noteworthy was the fact that, in face of a sharp change in the consumer basket structure in recent months, the inflation rate calculated using the previous year's weights may not reflect the change in the current standard of living accurately.

The negative impact of the coronavirus pandemic on the external sector has already reflected in considerable reduction of economic growth in the world economy, including partner countries to Armenia. Moreover, it is expected that in the second quarter the global economy will see one of its biggest downturns ever. According to new forecasts, the recovery of the world economy is delayed; in particular, the US GDP will reach its pre-crisis level by the end of 2021, and the Eurozone economy, even by the end of 2022. At the same time, major uncertainties are persisting over how the pandemic will evolve further in the short run and what structural shifts will be seen in the global economy resulting from the pandemic in the long run. Because these developments will have a significant impact on deepening poverty and inequality, both developed and some developing countries are taking unprecedented fiscal and monetary stimulus-driven measures.

It should be noted that in the international commodity markets, along with reopening of the Chinese economy, prices are recovering to a certain extent. Thus, following a more than 70% slump to USD 20 a barrel in April, international oil prices recovered to USD 40 a barrel at the end of May. Also, copper prices rose from USD 4,800 per ton at the end of March to approximately USD 5,350 per ton at the end of May.

While discussing the current state of the Armenian economy, it was noted that the spread of coronavirus in Armenia and around the world, as well as anti-pandemic measures against it will, as expected, sharply slacken the economic activity in Armenia over 2020. The slackening is determined by supply factors - reduction in labor supply, productivity, disruption in supply chain, as well as demand factors - less propensity to consume and invest, more propensity to save. As expected, the negative effects will be observable mainly during the second quarter. Thus, already in April of 2020 a substantial slowing of economic activity was registered due to the decline in almost all sectors of the economy, the construction and services sectors in particular. At the same time, private investment and external demand decreased considerably, with private consumption growth weakened notably. Despite the measures taken by the Government to neutralize the above negative effects of the coronavirus on the Armenian economy, there is expectation that aggregate demand will remain sluggish in the near future and will recover slowly due to the pandemic-driven uncertainties and weak external demand.

As for the developments in financial markets, it was stated that the volatility observed in financial markets in March-April had diminished, markets stabilized. After a reported rise in the mid to long-term segment of the government bond yield curve in March-April, interest rates fell notably amid uncertainty over the pandemic. At present, a certain increase in interest rates in the long run, naturally, took place mainly against the background of that notable fall.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. With major uncertainties persisting, when precautionary savings grow and demand slackens, global interest rates (neutral interest rate) have been falling, as international experience shows. On the other hand, inflation expectations, better-anchored compared to previous crises, which owes to more effective monetary policy developing countries are implementing, allow responding with stimulative policies to aggregate demand weakened by economic shocks. In the case of Armenia too, thanks to a low inflation policy pursued in recent years, inflation expectations are estimated to be rather anchored. In the context of the above, in view of a weak demand

to be persisting in the near future, a currently low inflation environment and high uncertainty, the Board of the Central Bank decided to ***cut the refinancing rate in a bigger step - by 0.5 pp*** - in order to maintain the policy's stimulative stance in the near future. As a result, according to the main scenario, inflation will remain relatively low in the upcoming months, gradually approaching the target in the future.

After looking at the main policy scenario, some Board members raised other concerns and observations for discussion. One such observation questioned if increasing the monetary stimulus wouldn't involve risk in the financial stability point of view. It was stated that, at the moment, easing the monetary conditions in a bigger step actually contributes to the strengthening of financial stability by supporting the recovery of aggregate demand.

Potential risks of capital outflow because of lower interest rates and, therefore, possible problems in attracting investment was another concern for discussion. It was noted that, in fact, the policy response would need to be developed using the assumptions in the baseline scenario, and should there emerge risks, to respond to such developments while ensuring price stability in the Republic of Armenia.

The Board sounded concerns that the amount of fiscal policy stimulus may be smaller than expected. The fiscal policy, they talked, would need to respond in a greater extent to the cyclical decline in demand, given that the decline in demand is sectoral by nature, whereas the monetary policy stimulus cannot have a sectoral impact but facilitates the recovery of aggregate demand. As a result, they admitted that there should be even closer cooperation between the Ministry of Finance and the Central Bank through an efficient exchange of information and, when the Central Bank proceeds to the stages of quarterly forecasting, through regular discussions with the Ministry of Finance representatives on external demand, budget and current domestic economy.

The Board also looked to the possibility of a second wave of the pandemic in the world and Armenia, and how it will influence the economy. Under this scenario, deflationary developments will intensify markedly, and a coordinated monetary, fiscal and social policy response thereto will be required, as well.

In the end, it was noted, for an enhanced scenario analysis, the Board of the Central Bank will work more closely with the Forecasting Team on the issues related to current developments in the external sector and the Armenian economy.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

The Central Bank of the Republic of Armenia

Board Decision

Interest Rates of Instruments of Monetary Policy of the Central Bank of the Republic of Armenia

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Cut the refinancing rate of the Central Bank of the Republic of Armenia by 0.5 pp to 4.5%.
2. To the Financial Markets Operations Department of the Financial Markets Directorate of the Central Bank to perform the Central Bank transactions in the financial market at the following interest rates:
 - 2.1. Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 6.0%.
 - 2.2. Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 3.0%.
3. This decision takes effect through a procedure required by law.

Martin Galstyan,
Governor of the Central Bank

June 16, 2020

c. Yerevan

PRESS RELEASE

16.06.2020

At its June 16, 2020 meeting, the Board of the Central bank of Armenia decided to cut the refinancing rate by 0.5 percentage points to 4.5%.

There was 0.1% deflation in May 2020, compared to 0.4% deflation recorded in the same month of the previous year, in which case the 12-month inflation has increased, amounting to 1.2%.

Due to the coronavirus pandemic, the world economy is expected to register one of its biggest historic downturns. Moreover, the recovery of the world economy is estimated to be slower than expected, and uncertainty over the further course of the pandemic persists. At the same time, commodity prices show signs of stabilization and recovery, owing to the cautiously optimistic expectations for Chinese economy. It is predicted that the external sector will continue having a deflationary effect on the Armenian economy.

According to the Central Bank estimates, the decline in economic activity in Armenia in the second quarter will deepen driven by both supply and demand factors. On the supply side, the slowdown is mostly caused by the decline in construction and services, and the decrease in demand will be reflected mainly in the reduction of private expenditures in terms of both consumption and investment. Despite the stimulative impact of the fiscal policy compared to the previous year, the impact of declining private demand will prevail, which is largely determined by persisting uncertainties related to the pandemic.

Given the slowdown of the recovery of external and domestic demand, the current low inflationary environment and the adverse impact of increased uncertainty, the Board of the Central Bank deems it appropriate to reduce the refinancing rate by a wider step. The Board estimates that, in the current situation, maintaining the expansionary monetary policy stance in the medium run will be needed, under which the inflation will remain low in the short term, approaching the target only at the end of the forecast horizon. The Board also reckons that, in the current situation, implementing a more expansionary fiscal policy along with a stimulative monetary policy is key to restoring aggregate demand.

The Board estimates that the risks of inflation deviating from the projection are still on the downside due to the possible slow recovery of demand and the likely persistence of uncertainty. Should the risks materialize, the Central Bank will stand ready to adjust the policy as needed, ensuring price stability in the medium run.

Press Service of the Central Bank of Armenia